



Mr. Shantany Guha (CEO)

SHV ENERGY

1. Can you please give an overview of your professional background leading up to and including your current role?

I started my career as a Procurement and Supply chain professional being equipped with a M.Tech in Packaging Technology ,Diploma in Materials Management and an MBA with specialization in Finance . Worked in several Indian companies from 1990 to 2000 in the mid management level mainly in the Supply and Logistics function till I joined SHV Energy (SUPERGAS) in Hyderabad, a Dutch MNC and one of the largest LPG distribution and marketing companies in the world as General Manager (Supply and Logistics) in the year 2000.

It was the beginning of the journey of being an entrepreneur without being an investor in SUPERGAS. Me and my colleagues together moved SUPERGAS from the project phase to the business phase and a profitable one at that from 2000 till day .It has been a fascinating journey as we evolved as a company having a common vision “ To lead in providing energy solutions through LPG.”Along the way we can say that we have had 3 Strategic direction adjustments to build our business to what it is today based on prevailing environment and market conditions in each of the strategic phases.

In between I moved to the Philippines in 2010 to 2014 as the Managing Director of Liquigaz another SHV Energy company with a short assignment of maximizing profits and divesting the Liquigaz business from SHV Energy Portfolio as it was not aligned to downstream distribution business model of SHV . After having completed the assignment ,I returned to SUPERGAS in India to join the team to take SUPERGAS to greater heights .

2. What have been some of the significant highlights of SHV Energy Private Limited history?

SHV Energy entered India under the brand name SUPERGAS in the year 1996 to participate in marketing and distribution of LPG in the domestic market with assurances by the Government of removing subsidy from the sector and making it a level playing field for foreign and local private players .The initial 5 years was focus on building the SUPERGAS brand, the infrastructure of terminals and filling plants and create a domestic customer base by self subsidizing the market with the hope of pricing for profits later once subsidy was removed .

In 2000 SUPERGAS India management decided not to wait for the Government to fulfill its promise of removing subsidies but instead strategize for profits . It is around the time that we decided to shift focus from the domestic to the industrial and commercial segment in bulk and cylinders The team of Senior Leaders

and middle management went through the process of reinventing the company in creating our Strategy for the decade from 2000 to 2010.

SUPERGAS for the first time had a positive EBITA in 2005 which was the start of the turn around and getting the shareholder confidence back .

In this period most of the MNC's and many other private companies wound up the LPG business operations as it was not possible to compete with the 3 giant Government Oil companies and the subsidy in the domestic segment .

SUPERGAS through our Vision , Goals and strategy created a niche for ourselves in the Industrial and Commercial segment and became a leader in providing Innovative solutions , Reliable quality , Highest standard of Safety and Customer service to our customers . We also changed a commodity business into a knowledge-based business where our young Engineers and Sales Managers learnt the art and technology of converting various



industrial applications from polluting fossil fuels to a cleaner fuel like LPG . We stopped selling LPG and sold "Peace of Mind" to all our customers.

In 2010 to further strengthen our infrastructure and penetration in the state of Tamil Nadu we acquired the Caltex LPG business and improved our profitability further by introducing and growing fast in a new business segment ie Auto Gas .

In 2019 I took over the reins as the CEO of SUPERGAS and we re-strategized and set new ambitions with the team . The year 2020 was a tough year for us with Covid impacting economy and crippling our Industrial and Commercial business .However we used the period to restructure the company to make it even more efficient and focused on Operational Excellence through Digital transformation and starting the LEAN journey.

We also believed in the Indian business and were able to convince our shareholders to allow another big investment of INR 500 crore for expansion of our terminal in Tuticorin from a Storage and trading hub to a full-fledged manufacturing facility . Despite the hardships during the Covid period our Project team did a great job of commissioning the expanded new terminal facility in 2023 to enable us to enter a new business stream of providing storage and job work services to the Government Oil companies to take SUPERGAS to the next league .

Subsequently banking on the Pillars of Commercial , Operational and Social Excellence we made a quick recovery in 2022 and 2023 and have ambitions to grow faster in the coming years .

3. What are some of SHV Energy Private Limited's key values and beliefs? How important is customer's satisfaction?

SHV Energy is a Purpose and value driven company .Our purpose statement is the "Courage to care for generations to come" .We believe in caring for our people ie our employees, our customers, our

and our shareholder , Caring for the planet by doing business in the most Sustainable manner and Caring for our performance to be able to keep contributing in making a positive change for generations to come .

Our business is strongly driven by our values which are Integrity- the courage to stay true to our principles, Trust- Courage to let people lead ,Curiosity -the Courage to shape the future , Inclusivity-the courage to see the best in all people and Passion -the courage to deliver the exceptional .

Whatever we do , we do keeping in mind our people ie our employees and customers, so satisfaction of both is extremely important for us .

4. What do you think sets your business apart from its competitors?

Our Culture , our people , our ambition , a clear strategic direction , powerful Management structure and great action planning and implementation driven by SUPEGAS team differentiates us from our competitors and has placed us among the market leaders in Industrial and Autogas segment in India.

5. How have you found the Manufacturing (Chemicals and chemical products) industry in India?

Manufacturing has been seeing steady growth and good development over the years . While India has done very well in Industrial machinery ,electrical and electronics,automotive and textile manufacturing,the chemical industry in India contributes to 7% GDP and saw growth in leaps and bounds even during the pandemic . However, the MSME's and most Indian chemical companies need support on process The urge to excel in manufacturing and balancing it by doing it in a Sustainable and safe manner needs more focus , commitment from Government and from the Private players . To site an example while there are policies to convert from solid and liquid fuel in Industries to gas like LPG /CNG but the implementation is not as one would desire it to be . I strongly believe it is

time to act to convert solid (coal) and liquid (Oil) energy based economy to gas and sustainable fuel .Time is already behind us and if we do not act fast , it is not the next generation who will see the consequences it is our generation who will have to face the consequences in not so far in the future.

6. How important is culture to the business? How do you instill this in your employees?

Culture is the foundation of any organization and business for long term sustenance and growth . The older the organization gets , the more difficult it is to instill culture in our employees . This is called change and in organization parlance what we call transformation .

Every organization should therefore be more focused on managing change and not hold on to one culture . The ability of the organization to be able to manage the change in culture is the value of inclusivity where there is respect and acceptance of all generations right from the baby boomers to Gen Z and beyond , languages, religion, ethnicity, and gender . I have seen the culture shift from being a paper and files company to hard drives and computers , to clouds ,smart pads ,smart phones and laptops . From being 6 days a week organization to 5 days a week to a Hybrid working model with flexi days at work.

However certain strong nonnegotiable values is what we try to inculcate among our people to main what we call the SUPERGAS culture like Integrity and Safety . While integrity issues do not get a second chance at SUPERGAS , the rest including Safety is a learning process and adapting to the SUPERGAS culture over time which is instilled among our people from day one through training , dialogue , connect session but most importantly through Visibly felt leadership.

7. What are the plans in terms of expansion and growth?

Being a Dutch MNC , SUPERGAS aligns its growth plans and ambition with

the Global SHV Energy company as each country is in a different phase with different external conditions impacting it. We believe India still has a lot of opportunity to grow in the LPG business and hence our focus in the next 10 years is to maximize growth through continuous investment in infrastructure like filling plants, depots, creating franchisee network, investing in Conversions of Liquid fuels to LPG and partnering with other players for terminals wherever we need and don't have our own. We are also very closely monitoring the development of LNG in the mobility space and would like to participate in the sector once we see it developing in India as a sustainable business model.

In the meantime, we are also focusing on preparing for our future growth by investment in technology and partnering with companies to look at the space around LPG like RDME, BioLPG, CBG, etc.

SHV Energy has also gone beyond LPG and invested and acquired a Solar company in India "Sunsource" and are committed to focus and grow the company in India.

8. What strategies does SHV Energy Private Limited have in place to improve your supply chain and build long term relationships with key partners?

While all our business partners are important to us, we have categorized them into Vital and Essential. Vital partners are our vendors for supply of LPG, Transports, Cylinder and valve manufacturers and few others. As we do not own refineries and are mainly a marketing and distribution company getting competitive and reliable LPG to store and distribute is most important for us. Therefore, to de risk this area we have our own Global Supply and Risk Management company who sells LPG / Propane / Butane to us at arm's length. However, we have tie ups with local partners too to de risk our supplies overall.

On the downstream supply chain, we have long term contracted Bulk and

cylinder transport companies and with SUPERGAS standard safety and deliverables agreed with very high level of monitoring of their services through automation and digital tracking. To share a few examples all our vehicles have Vehicle tracking system installed, our terminals and filling plants have Automated driver monitoring systems which qualifies/disqualifies a driver before he enters a filling plant or terminal based on checking his driving license validity, medical health check record compliance as per policy, training record on defensive driving and various other parameters and many others which give us a cutting edge in the market.

9. What are some of the key goals Mr. Santanu Subinoy Guha and SHV Energy Private Limited Company have achieved since they began their role as the CEO?

The few achievements for me which I would like to mention on behalf of my team since 2019 are, taking great care of employees, customers and vendors during the very difficult period of the Pandemic in 2020 and 2021 and keeping the spirits up while serving our customers under extremely difficult conditions. Though our business saw a bottom during the lockdown where we lost 90% of our Sales, we ensured no one lost their job for that reason, year-end bonus and increment though not to the best standards were maintained during the difficult times despite the fact targets were not met in 2020.

Shifting to Work from home wherever possible through speedy decision on upscaling our digital capabilities was another achievement I give credit to my team. Digital transformation to improve Commercial and Operational excellence is another achievement our team can be proud of leading to a tremendous boost to our profitability which helped us to double our EBITA in the last 5 years.

2 other achievements without mentioning it would be injustice to

the team involved was completion of our Tuticorin terminal expansion project with minimum delay and 100% safety record despite the toughest conditions during pandemic and our increase of focus on our various Social improvement projects beyond our statutory CSR limits to make a positive impact on society are some of the achievements which me and our SUPERGAS team are proud off.

10. How does Mr. Santanu Subinoy Guha Profiles collaborate with and develop relationships with key suppliers and what benefits as a company do you see from this collaboration?

Our simple way of collaboration and development of relationship with our supplies is always look for a win win arrangement, trust and being fair in our dealings and sticking to our principals and commitments. It is always a long-term relationship for us and once you connect with SUPERGAS and reciprocate our principles and way of working the partnership lasts a life time. The Sustainable and long-term approach helps continuity of business for both SUPEGAS and our partners.

11. Looking to the future, what are your plans for the company's growth in the medium to long term?

As already mentioned in the medium term we keep focus on all our segments of the LPG business that is Industrial, Commercial, Autogas and our Terminal storage and job work services. For the long terms we prepare to go to sustainable molecules around LPG like LNG, rDME, Bio LPG, CBG etc.

12. Anything else you would like to add or expand upon?

A message in the end to the readers is to have the Courage to dream big and then work hard to achieve it. Having a Vision and Strategy is easy but getting motivated people and team to do the action planning and implementation is the key to long term success hence we believe that the People are they key.